

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – III –UNIVERSITY EXAMINATION, MARCH 2018
BM205 COST ACCOUNTING (OLD)
BM205.1 COST ACCOUNTING (NEW)

Date: 30/03/2018, Friday

Time: 01.30 PM to 2.00 PM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

15

A) Match the following: (i – vi)

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Fixed cost	a)	Cash flow from operations	i. –
ii.	Variable cost	b)	Investing activity	ii. –
iii.	Contribution	c)	Cash Outflow	iii. –
iv.	Sales	d)	Raw material	iv. –
v.	Break even	e)	Salaries	v. –
vi.	Overhead cost	f)	Sales less variable cost	vi. –
		g)	Profit equal all cost	
		h)	Total cost add profits	
		i)	None labour, No direct material cost	
		j)	Share issues	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)**03**

- vii.** Contract costing is mostly used in-
- a) Job
 - b) Construction
 - c) Batch
 - d) Service
- viii.** Which of the following is not limitation of cash budget?
- a) Estimates are difficult
 - b) Estimates are easy
 - c) Expensive
 - d) None of the above
- ix.** Which of the following item is considered as fixed costs from the view point of transport undertaking?
- a) Diesel
 - b) Depreciation
 - c) Garage rent
 - d) Petrol

C) Fill-in the Blanks (x – xii) You may choose from the following answers:**03**

Dividend Payment	Prime cost	Cost Allocation	Order register	Marginal costing	Purchase order
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- x.** _____ refers to the direct costs of the product and consist s of direct labor costs plus direct material costs.
- xi.** _____It is the process of estimating the cost of resources consumed by products that involves the use of surrogate, rather than direct measures.
- xii.** _____item is shown in not shown in cost sheet?

D) True or False (xiii – xv) (Note: Encircle the correct answer)**03**

- xiii.** In process costing to find amount of normal loss, is generally multiply with scrap value. (True) or (False)
- xiv.** Ordering cost detail is not included to find out economic quantity of batch? (True) or (False)
- xv.** The Economic Order Quantity is the number of units that a company should add to inventory with each order to minimize the total costs of inventory—such as holding costs, order costs, and shortage costs. (True) or (False)

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BM205 COST ACCOUNTING (OLD)
BM205.1 COST ACCOUNTING (NEW)

Date: 30/03/2018, Friday

Time: 02.00 PM to 04.30 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

- | | | |
|-----------|---|-------------------------------|
| Q.2 | Differentiate between cost accounting and Financial Accounting? Why management accounting is not considered to be cost accounting. | 10 |
| OR | | |
| Q.2 | Explain the purpose of cost sheet and prepare a format of cost sheet mentioning all relevant contents. | 10 |
| Q.3 | <p>A What is Economic Order Quantity? Explain with the help of graphical representation</p> <p>B The following information relating to a type of Raw material is available:</p> <p>Annual Demand 3,000 units</p> <p>Unit price Rs. 20.00</p> <p>Ordering cost per order Rs. 20.00</p> <p>Storage cost 2% p.a.</p> <p>Interest rate 8% p.a.</p> <p>Lead time Half- month</p> <p>Calculate economic order quantity.</p> | <p>05</p> <p>05</p> <p>10</p> |
| OR | | |
| Q.4 | Describe any five techniques of inventory control techniques in detail? | 10 |
| Q.4 | <p>From the following particulars calculate total earnings of each worker under Gantt's Task and Bonus Scheme:</p> <p>Standard production per week per worker is 2000 units,</p> <p>piece work rate Rs. 5 per unit</p> <p>Actual production during the month :</p> <p>A-1000 units</p> <p>B - 2000 units</p> <p>C - 2500 units</p> | 10 |
| Q.5 | Explain labour cost. Discuss the methods of remuneration in detail. | 10 |
| Q.6 | <p>Case Study / Case-let:</p> <p>From the following information prepare a statement showing last in first out method:</p> | 15 |

Date	
	Opening balance 100 units at Rs. 10 each
1	Received 200 units at Rs. 10.50 each
2	Received 300 units at Rs. 10.60 each
4	Issued 400 units
6	Issued 120 units
7	Received 400 units at Rs. 11 each
10	Issued 200 units
12	Received 300 units at Rs. 11.40 each
13	Received 200 units at Rs. 11.50 each
15	Issued 400 units